what he called a “disruptive scheme” that could seriously shake the capital markets.[180] The Treasury Secretary had been in repeated conversations with the Chinese authorities and was seeking congressional authorization to offer financial support to the two corporations. However, Chinese authorities did not yet feel sufficiently reassured that their agency assets were protected from default and used their financial leverage to pressure the Treasury Department for a guarantee, which the United States rebuffed.[181]

If Paulson’s account is accurate—and Russian authorities deny it[182]—Russia’s intentions could have been offensive, to deliberately harm the United States, as Paulson feared; or they could have been defensive, to unload its positions before they became worthless; or both. Another report suggests that Russian officials aimed to create a financial crisis that would compel the U.S. government to support these firms directly.[183] Also unclear is whether Chinese officials revealed this alleged overture because they recognized that even signaling that some major parties were contemplating brinkmanship, which could rapidly provoke contagion while large-scale selling by creditors was already underway, was likely to produce the desired effect for international creditors. In fact, Paulson and his team recognized that they could not let Fannie Mae and Freddie Mac fail. On September 6, 2008, the U.S. government imposed federal conservatorships on the two enterprises, which then held about $5.2 trillion of home mortgage debt.[184]

What is known about this case does not resolve the key question of how high a price the Kremlin is willing to pay to diminish U.S. economic and financial power. Eroding U.S. dominance and shifting to a multipolar world is a goal that Russian leaders repeatedly embrace in public statements and is central to the BRICS, as noted in their communiqués and actions. However, the means to this end are expected to strengthen, not weaken, Russia’s power and influence. The available evidence suggests that Putin’s threats are calculated and sufficiently ambiguous that the Kremlin can always change course without actually going to the brink. Success in diminishing the structural power of the United States has been elusive, but Moscow’s principal concern is that the benefits have disproportionately gone to China, not Russia.